

fully assembled devices, imported parts are caught in an expanding web of tariffs. A single misstep in labelling a component can cost significantly. For instance, a chip assumed to be for a communication device? Customs might categorise it as an automotive part. Suddenly, a 25% tariff is imposed.

The stakes rise further if your supply chain includes China or Hong Kong. An additional 10% duty has already become 20% in many cases, under the International Emergency Economic Powers Act (IEEPA)—officially justified as protecting national security, but leaving importers to absorb the added cost. US export manufacturers are especially affected; the 20% duty paid at entry remains even if a product is re-exported. No rebates. No exemptions. Just an embedded

cost reshaping margins and pricing strategies.

Adapt or pay up. In today's environment, businesses are learning fast; adapting strategies is no longer optional. Avoiding profit erosion is essential. Every component must be classified with surgical precision to ensure both efficiency and compliance. Tariffs can no longer be treated as temporary disruptions; they are a permanent element of cost structures, requiring thoughtful planning and integration into long-term models. The global electronics manufacturing game is not only about innovation but also navigation.

E-commerce in the crossfire: Enter the E-port tax

The most disruptive development arrived with the elimination of the de minimis exemption for low-cost Chinese imports. Starting May 2, even a \$1

item from China incurs full duties. By June 1, any item under \$800 attracts a minimum tariff of \$200. These policies, aimed at e-commerce, are forcing small businesses and consumers to reconsider sourcing strategies.

Countries such as Vietnam and Myanmar face heightened tariffs—up to 44%—as part of a US attempt to rebalance trade flows. One rule offers limited relief: Tariffs are reduced if at least 20% of an exported product's value originates from US-made components. However, if the US content falls below this threshold, full tariffs apply. Proving that share has become a complex legal exercise.

Vietnam and Myanmar have been subject to severe tariffs under a system that may appear arbitrary but is structured to pressure trading partners into adopting what the US defines as 'fairer' trade practices. This creates a grey area for companies dealing with multi-sourced products like electronics, as there is no universal rulebook for determining a product's country of origin.

Often, it is the courts, not customs, that make the final determination. A single misclassified shipment can wipe out an entire profit margin. The US tariff model considers several economic factors: bilateral trade deficits, import volumes from specific countries, and the sensitivity of prices and demand to tariff changes. Once calculated, the tariff rate is

What smart companies are doing now

- **Mapping their supply chain.** Every part is traced, documented, and its country of origin logged.
- **Building alternate sourcing.** Manufacturers are rethinking dependencies on Chinese components.
- **Legal pre-checks.** Consulting trade law experts before shipments hit US ports, not after.

Bilateral Trade Overview (US\$)

Trade Flow	CY 2023	CY 2024
Exports to the USA	~\$75.8 billion	~\$80.79 billion
Imports from the USA	~\$42.1 billion	~\$43.06 billion

ICT Sector: Exports from India to the USA

Category	FY 2023-24	Remarks
Electronics Exports	~\$10 billion	—
Smartphone Exports (HSN 851713)	~\$7 billion	US Effective BCD: 0%
Telecom Equipment Exports	~₹11.92 billion	Includes switches, routers, etc

Fig. 2: India-US trade snapshot

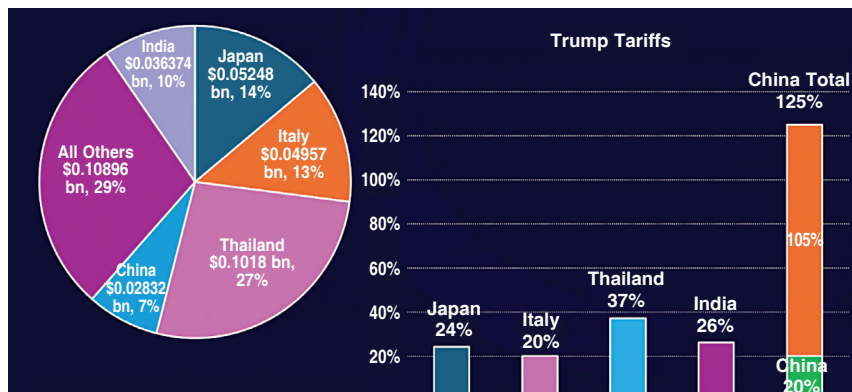


Fig. 3: Major exporters to the USA (HTSUS 8504409570 inverters (static converters))